development of the products, institutions, and networks that will foster inclusion.

Let us start with products. We have been trying for decades to expand credit. We have focused much less on easing payments and remittances or on expanding remunerative savings vehicles or on providing easy-to-understand insurance against emergencies. Perhaps we should try to expand financial inclusion by encouraging these other products, and allow credit to follow them rather than lead. Indeed, many successful organizations working with the poorest of the poor try to get them to put aside some money as savings, no matter how little, before giving them loans. Some of our self-help groups (SHGs) work on this principle. Not only does the savings habit, once inculcated, allow the customer to handle the burden of repayment better, it may also lead to better credit allocation. With the power of information technology, perhaps the analysis of the savings and payment patterns of a client can indicate which one of them is ready to use credit well.

One roadblock to access, even to something as simple as a universal basic savings account, is Know Your Customer (KYC) requirements. Experts have emphasized the need to make it far simpler to open basic accounts, and have suggested minimizing the required documentation. In an effort to do so, the Dr Nachiket Mor Committee recommends requiring proof of only a permanent address. This is nevertheless more onerous than current RBI norms, which allow an applicant to self-certify her address and other details for accounts below Rs 50,000. But despite the RBI's exhortations, few banks have reduced their demand for documentation – they fear that they will be held responsible if something goes wrong, no matter what the regulatory norms. The acceptance of third-party KYC certification is particularly difficult.